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File No.: EXP202209359

SANCTIONING PROCEDURE RESOLUTION

From the procedure instructed by the Spanish Agency for Data Protection and based on the following:
BACKGROUND

FIRST: Mr. A.A.A., on behalf of Ms. B.B.B. and Mr. C.C.C. (hereinafter, the claimant) filed a complaint with the Spanish Agency for Data Protection on July 27, 2022. The complaint is directed against Telefónica Móviles España, S.A.U. with NIF A78923125 (hereinafter, the respondent or "TME"). The reasons for the complaint are as follows:

The representative of the claimant states that, in February 2022, they suffered an attempted fraudulent duplication of the SIM card of their telephone line, which was unsuccessful. These facts were communicated to the respondent, who responded on March 9, 2022, apologizing and outlining all the security measures they adopt in response to requests for SIM card duplication.

In this context, on May 21, 2022, the claimant notes that their phone is not functioning properly. They contact the company "O2" ("TME"), who inform them that a duplicate of the SIM card for the telephone line ***TELÉFONO.1 had been made, and therefore, the old card had been deactivated and only the new one works. They deduce that they may be suffering from "phishing" or bank fraud through the theft or duplication of the SIM card. On the same day, upon checking their bank account linked to that mobile line, they observed that five fraudulent transactions had been made that they did not authorize on May 21, 2022:

And, they provide the following relevant documentation:

- Documentation proving ownership of the line.
- Contract for the bank account that suffers the fraudulent transactions.
- Complaint filed with the police on May 22, 2022.
- Communication sent to the respondent outlining the events that occurred and requesting recordings of the conversations that may have taken place to carry out the fraudulent duplication of the card, as well as any useful information to take legal action against the third parties impersonating the claimant's identity.
- Response from the respondent, requesting the police report and informing about the need to request the recordings mentioned through judicial means.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter LOPDGDD), the complaint was forwarded to the respondent for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was acknowledged on October 3, 2022, as evidenced by the acknowledgment of receipt in the file.

On November 3, 2022, a response was received in this Agency stating: "Regarding the reported facts, TME informs that there is a request for a change of ICC of the SIM card associated with the line ***TELÉFONO.1, owned by Mr. C.C.C. and which, as indicated in his complaint, is used by his wife Ms. B.B.B., on May 21, 2022, at 18:41 hours through our customer service telephone number 1551, which was not processed because it did not meet the necessary requirements according to the established operating procedures, thus our agent acted correctly.

However, two hours later, the ICC change of the SIM card was indeed made without the aforementioned recording being present in our systems. Therefore, we can determine that, despite TME having an adequate operating procedure known to all our agents on how to act in response to a request for a SIM card change, in this specific case it has been determined that on this second occasion the commercial agent did not correctly follow said procedure, as the recording of the SIM change request does not appear in our documentary support.

The next day, after the customer contacted us, O2 immediately proceeded to block the line until he went to a physical store on May 24 to obtain the new SIM, where the established operating procedure was correctly followed."

THIRD: In accordance with Article 65 of the LOPDGDD, when a complaint is presented to the Spanish Agency for Data Protection (hereinafter, AEPD), it must evaluate its admissibility for processing, notifying the claimant of the decision on the admission or inadmissibility for processing within three months from the date the complaint was received by this Agency. If, after this period, such notification has not occurred, it will be understood that the processing of the complaint continues in accordance with the provisions of Title VIII of the Law.

This provision also applies to procedures that the AEPD must process in exercising the powers conferred upon it by other laws.

In this case, taking into account the above and that the complaint was filed with this Agency on July 27, 2022, it is communicated that your

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The complaint has been admitted for processing on October 27, 2022, having elapsed three months since it was received by the AEPD.

FOURTH: On February 13, 2023, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the complained party, in accordance with the provisions of Articles 63 and 64 of the LPACAP, for the alleged infringement of Article 6.1 of the GDPR, classified under Article 83.5 of the GDPR.

FIFTH: Once the aforementioned initiation agreement was notified in accordance with the rules established in the LPACAP, the complained party submitted a written request for an extension of the deadline granted to formulate allegations.

On March 13, 2023, they submitted a written statement of allegations in which, in summary, they expressed that they request the Agency to suspend this procedure due to criminal prejudiciality.

On the other hand, they indicate that, although it has been determined that the established protocol regarding the last of the recordings was not followed, this in no case implies the admission, presumption, or verification by the Agency that the commercial agent did not follow the operational procedures related to customer identification.

Furthermore, they highlight that they cannot understand how the Agency considers that “TME” does not exercise due diligence when adopting a customer identification operation adapted to the requirements set forth in data protection regulations, and that it links this to an unlawful processing of the complainant's personal data.

They point out that “TME” cannot be held responsible for the specific and exceptional non-compliance of the operations that may have been carried out by the personnel hired by the data processors involved in these types of processes.

“TME” believes that the principle of legality is not being violated since the conduct carried out by “TME” cannot be subsumed under any of the provisions whose infringement is attributed, given that in this specific case, the processing of personal data is carried out for the purpose of managing a duplicate SIM card for the proper provision of service, or in other words, to execute the contract that the complainant has signed with “TME”. Therefore, the processing is lawful in any case.

That the attribution of an infringement of Article 6.1 of the GDPR to “TME” is not warranted, since the processing of those data by “TME” is necessary to manage the contractual relationship with the complainant and, therefore, Telefónica had sufficient legal basis, thus the typical action does not result, and the present sanctioning file should be archived.

They also state that the unlawful data processing would be carried out by the fraudulent third party, who does not have sufficient legal basis for processing the complainant's data, and not “TME”.

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It indicates that the technical and organizational measures implemented are the result of a meticulous and ongoing study process that encompasses multiple disciplines and areas of knowledge (legal advice, security, fraud prevention).

On the other hand, they state: "that Telefónica has appropriate security measures that guarantee a level of security that is adequate to the risk (in particular, to prevent unauthorized access or use of customers' personal data), without neglecting at any time its obligations as a provider of electronic communications services. All of the above only serves to demonstrate that the conduct followed by Telefónica can in no case be considered typical, given that the conduct carried out by Telefónica is not subsumable under the provision whose infringement is imputed. Furthermore, it cannot be considered unlawful.

Telefónica believes that it has acted at all times in good faith and with a founded belief excluding all culpability.

Without prejudice to the preceding allegations regarding the absence of typicality, unlawfulness, and culpability, and in case the Agency does not agree to archive the present sanctioning file, subsidiarily, this party wishes to express its disagreement with the Agreement, when it states as a circumstance to aggravate the sanction the following: "The evident link between the business activity of the respondent and the processing of personal data of customers or third parties (Article 83.2.k of the GDPR in relation to Article 76.2.b of the LOPDGDD)."

Regarding this aggravating factor raised by the Agency, as has been stated in this document, this party considers that there has been no illegitimate processing of the claimant's data by Telefónica, since its processing is legitimized by Article 6.1 of the GDPR, being necessary for the execution of a contract in which the interested party is a part.

Therefore, to the extent that this party does not consider that there has been an illegitimate processing of the claimant's data, we cannot likewise consider that the aggravating factor raised by the Agency in the Agreement is present.

On the other hand, it is important to highlight the mitigating factor appreciated by the Agency when it indicates: "The respondent party effectively resolved the incident subject to the complaint (art. 83.2 c)," as was noted in the allegations presented to the informative file from which the present sanctioning action arises.

In this regard, we must remember that the facts that have led to the situation reported by the Claimant are the deception, manipulation, and unlawful use of the data carried out by the impersonator. In no case can negligence, much less intentionality, be attributed to the actions carried out by Telefónica. For all the above, in the event that the Agency decides to maintain the sanction despite the arguments put forward by this party, these mitigating factors must be taken into account for the reduction of its amount.

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In this regard, it is important to highlight that the Agency's actions regarding a case related to facts substantially similar to those that are the subject of the current claim have been contradictory, as the Agency itself informed us in the file with reference No. EXP202104446 dated January 26, 2022, in which it was decided to archive the case on the grounds that there was already an ongoing sanctioning procedure for the same facts, the literal wording of which was as follows: "On this particular matter, it should be emphasized that similar facts to those that are the subject of the claim have been investigated by this Agency and sanctioned in the sanctioning procedure PS/00021/2021, processed against the claimed party, by resolution dated 11/08/2021, therefore, the initiation of a new sanctioning procedure is not appropriate."

Consequently, the discrepancy in administrative actions between one file and another would constitute a clear violation of the doctrine of acts own, creating a palpable legal uncertainty and, therefore, would

imply the concurrence of the cause for annulment of the Agreement provided for in Article 48.1 of Law 39/2015 of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, "Law 39/2015").

In this regard, it is worth recalling that Telefónica has already been sanctioned for the same facts that are currently being addressed in this procedure; the Agency imposed the sanction through the procedure with reference PS/00021/2021, and as the Agency is aware, a corresponding appeal has currently been filed before the Courts of Justice.

The above leads us to consider that initiating a new sanctioning procedure, successively, without a ruling from the Courts of Justice, and regarding the same facts, violates the principle of non bis in idem.

For all the above, I REQUEST THE AGENCY to accept this Written Statement of Allegations as timely and properly submitted, and, after the appropriate procedures, in its virtue: i. Declare the non-existence of responsibility on the part of Telefónica for the alleged infringements attributed to it in this procedure, ordering the archiving of the present sanctioning file. ii. Alternatively, in the event that the archiving of the present sanctioning file does not proceed, suspend the present procedure and require the claimant to provide information on the status of the filed complaint, as well as the content of any ongoing criminal proceedings, in order to determine whether there is any criminal prejudiciality. iii. Finally, in the event that none of the previous claims are upheld, that the initially proposed sanction be reduced in accordance with Article 83 of the GDPR.

SIXTH: On March 14, 2023, the instructor of the procedure agreed to carry out the following evidence: <<1. The complaint filed by Mr. A.A.A., on behalf of Ms. B.B.B. and Mr. C.C.C., and its documentation, the documents obtained and generated during the admission phase of the complaint, are considered reproduced for evidentiary purposes. 2. Likewise, the allegations to the initiation agreement of the referenced sanctioning procedure, presented by TELEFÓNICA MÓVILES ESPAÑA, S.A.U., and the accompanying documentation are also considered reproduced for evidentiary purposes.>>

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SEVENTH: Once the proposed resolution was notified, the respondent party requested an extension of time to submit allegations, which was granted, and submitted a written statement of allegations on May 17, 2023, in which, in summary, it reaffirms those made in the Initiation Agreement, requesting that the current procedure be suspended and that the claimant be required to provide information on the status of the complaint filed, as well as the content of any criminal proceedings that may be underway, in order to determine if there is any criminal prejudiciality, propose a declaration of non-existence of liability on the part of the respondent for the alleged infringement attributed to it in the current procedure, and that a Resolution be issued ordering the filing of the current sanctioning file, and subsidiarily, to reduce the initially proposed sanction.

From the actions taken in the current procedure and the documentation in the file, the following has been established:

PROVEN FACTS

1st. The claimant filed a complaint with this Agency on July 27, 2022, stating that in February 2022, they suffered an attempted fraudulent duplication of the SIM card of their telephone line, which was unsuccessful. Facts that the claimant informed the respondent party about, receiving a response on March 9, 2022, apologizing and outlining all the security measures they adopt in response to requests for duplication of SIM cards.

2nd. It is recorded that on May 21, 2022, the claimant noted that their phone was not functioning properly. They contacted the company "O2" ("TME"), who informed them that a duplicate of the SIM card for the telephone line ***PHONE.1 had been made, and therefore, the old card had been deactivated, and only the new one was operational. On the same day, upon checking their bank account linked to that mobile line, they observed that five fraudulent transactions had been made that they did not authorize on May 21, 2022.

3rd. "TME" states in its written response dated November 3, 2022, that there was a request for an ICC change of the SIM card associated with the line ***PHONE.1, owned by Mr. C.C.C., on May 21, 2022, at 18:41 hours through their customer service telephone line 1551, which was not processed because it did not meet the necessary requirements according to the established operating procedures for such purposes. However, two hours later, the ICC change of the SIM card was indeed made without the aforementioned recording being present in their systems.

4th. "TME" states in its written response dated November 3, 2022, that on the second occasion, the commercial agent did not correctly follow the established procedure, as the recording of the SIM change request was not documented in their records.

5th. On May 22, 2022, O2 ("TME") immediately proceeded to block the line until the claimant visited a physical store on May 24 to obtain the new SIM, during which the established procedure was correctly followed for such purposes.

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LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of the LOPDGDD, the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Criminal Prejudice

Prior to proceeding, it is necessary to resolve the allegation presented by "TME," based on the existence of criminal prejudice.

It is stated regarding these facts that they are currently subject to a criminal investigation. It is considered that, therefore, in application of the principle of criminal prejudice as set forth in Article 10 of the Organic Law of the Judiciary, the matter should not be resolved administratively until it is resolved through the criminal route. This, it is stated, given that the established facts will bind the Agency regarding a possible sanctioning procedure, in accordance with the provisions of Article 77.4 of Law 39/2015.

It should be noted that Article 77.4 of the LPACAP states: "In sanctioning procedures, the facts established by final criminal judicial resolutions will bind the Public Administrations regarding the sanctioning procedures they process." However, it should be indicated that there is not the necessary triple identity to apply Article 77 of the LPACAP (of subject, fact, and basis) between the administrative infringement being assessed and the possible criminal infringement or infringements that may arise from the alleged Preliminary Proceedings carried out by a judicial body. This is because the infringing subject would obviously not be the same – regarding the infringements of the LOPDGDD, the responsible party is Telefónica, while the criminally responsible party for a potential crime of identity theft or fraud would be the third party who impersonated the claimant. The legal basis would also not be the same: while the legal right protected by the LOPDGDD is the fundamental right to the protection of personal data, the legal rights protected in the criminal offenses that would be investigated, if applicable, by the Investigating Court would be civil status, property, etc.

In this regard, the Judgment of the National Court is very enlightening.

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27/04/2012 (rec. 78/2010), in which the Court states in the following terms regarding the appellant's

allegation that the AEPD has violated Article 7 of R.D. 1398/1993 (a regulation that was in force until the entry into force of the LPACAP): "In this regard, Article 7 of Royal Decree 1398/1993, of August 4, on the procedure for exercising sanctioning power, only provides for the suspension of the administrative procedure when there is an effective and real existence of a criminal procedure, if it is deemed that there is identity of subject, fact, and legal basis between the administrative infringement and the criminal infringement that may correspond.

However, for the concurrence of a criminal prejudiciality, it is required that it directly conditions the decision to be made or that it is essential for resolving, conditions that do not occur in the case examined, in which there is a separation between the facts for which the sanction is imposed in the resolution now appealed and those that the appellant invokes as possible criminal offenses. Thus, even if criminal proceedings had been initiated in this case, regarding the facts now in dispute, against the distributing company, the truth is that both the sanctioning conduct and the legal interest protected are different in each avenue (contentious-administrative and criminal). In the criminal sphere, the legal interest protected is a possible documentary falsification and fraud, while in the administrative sphere, it is the right of the data subject to control their personal data, which is why such an objection from the defendant must be rejected."

In consideration of the above, the issue raised by Telefónica cannot prosper and must be rejected.

III

Unfulfilled Obligation

Prior to addressing the matter, it is necessary to point out that Article 4.1 of the GDPR defines:

"personal data" as "any information relating to an identified or identifiable natural person ('the data subject'); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier, such as a name, an identification number, location data, an online identifier, or one or more specific elements of the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person;"

The issuance of a duplicate SIM card involves the processing of the personal data of its holder, as any person whose identity can be determined, directly or indirectly, in particular by reference to an identifier (Article 4.1) of the GDPR, is considered an identifiable natural person.

Therefore, the SIM card identifies a phone number, and this number, in turn, identifies its holder. In this sense, the Judgment of the CJEU in case C-101/2001 (Lindqvist) of 6.11.2003, paragraph 24, Rec. 2003 p. I-12971: "The concept of 'personal data' used in Article 3(1) of Directive 95/46 includes, according to the definition in Article 2(a) of that Directive, 'any information relating to an identified or identifiable natural person.' This concept undoubtedly includes a person's name along with their phone number or other information relating to their working conditions or hobbies."

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In summary, both the data processed to issue a duplicate SIM card and the SIM card (Subscriber Identity Module) that uniquely and unequivocally identifies the subscriber on the network are personal data, and their processing must be subject to data protection regulations.

The defendant is accused of committing an infringement by violating Article 6 of the GDPR, "Lawfulness of processing," which states in its paragraph 1 the circumstances under which the processing of third-party data is considered lawful:

"1. Processing shall be lawful only if at least one of the following conditions is met:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is a party or for the implementation of pre-contractual measures at the request of the data subject;
- c) processing is necessary for compliance with a legal obligation to which the data controller is subject;
- d) processing is necessary to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the

exercise of official authority vested in the data controller;

f) processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child. The provisions of point f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks.”

Furthermore, Article 6.1 of the LOPDGDD states, regarding the processing of personal data based on the consent of the affected party, that: “1. In accordance with the provisions of Article 4.11 of Regulation (EU) 2016/679, the consent of the affected party is understood to be any freely given, specific, informed, and unambiguous indication of the data subject's wishes by which they signify agreement, either by a statement or by a clear affirmative action, to the processing of personal data concerning them (...).”

IV

Classification of the infringement of Article 6 of the GDPR

The infringement of Article 6 for which the defendant is held responsible in this resolution is classified in Article 83 of the GDPR under the heading “General conditions for imposing administrative fines.”

“5. Infringements of the following provisions shall be subject to administrative fines of up to 20,000,000 EUR or,

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In the case of a company, an amount equivalent to a maximum of 4% of the total annual business volume of the previous financial year shall be chosen, opting for the higher amount:

a) The basic principles for processing, including the conditions for consent in accordance with Articles 5, 6, 7, and 9.”

The LOPDGD, for the purposes of the statute of limitations for the infringement, qualifies in its Article 72.1 as a very serious infringement, with a statute of limitations of three years in this case, “b) The processing of personal data without any of the lawful processing conditions established in Article 6 of Regulation (EU) 2016/679.”

In the present case, it is established that “TME” provided a duplicate of the claimant's SIM card to a third party, without their consent and without verifying the identity of said third party, who accessed the information contained in the mobile phone, such as banking data, passwords, email address, and other personal data associated with the device. Thus, the respondent did not verify the identity of the person who requested the duplicate SIM card and did not take the necessary precautions to prevent these events from occurring.

Based on the above, in the analyzed case, the diligence employed by the respondent to identify the person who requested a duplicate of the SIM card is called into question.

In its response dated November 3, 2022, the respondent acknowledges that a fraudulent duplicate was made, stating that on May 21, 2022, at 18:41 hours, there was a first attempt to request a SIM card change, which was not processed because it did not meet the necessary requirements according to the procedures established by “TME.”

However, two hours later, the ICC change of the SIM card was carried out without the aforementioned recording being present in “TME” systems, and as acknowledged, “in this specific case, it has been determined that on this second occasion the commercial agent did not correctly follow said procedure, as the recording of the SIM change request does not appear in our documentary support.”

In any case, the operator acknowledges that the procedure implemented by itself was not followed, since, had it been followed, the duplicate of the SIM card should have been denied.

In light of the above, the respondent fails to demonstrate that this procedure was followed.

Based on the above, in the analyzed case, the diligence employed by the respondent to identify the person who requested a duplicate of the SIM card is called into question.

Telefónica cites in its defense a series of resolutions issued by the AEPD, stating that in case

EXP20210446, it was archived as it understood that there was already a sanctioning file in progress for the same facts and that Telefónica has already been sanctioned for the same facts that are currently being addressed at C/ Jorge Juan, 6

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In the procedure, the Agency imposed the sanction through the procedure referenced PS/00021/2021 and therefore violates the principle of non bis in idem.

Regarding this matter, apart from the fact that the facts stated in the complaint are not the same, it is important to highlight that these procedures aimed to analyze the processes followed to manage SIM change requests by Telefónica, identifying any vulnerabilities that may exist in the implemented operational procedures, to detect the causes for which these cases may be occurring, as well as to find points of non-compliance, improvement, or adjustment, to determine responsibilities, reduce risks, and enhance the security in the handling of personal data of the affected individuals.

In the sanctioning procedure PS/00021/2021, processed against the party being complained about, a sanction was imposed for the infringement of Article 5.1.f) of the GDPR, not for processing data without legitimacy but for failing to guarantee the principle of confidentiality.

Regarding the breach of the principle of proportionality, the GDPR expressly provides for the possibility of gradation, through the provision of fines that can be modulated, taking into account a series of circumstances of each individual case. These circumstances have been considered when setting the sanction.

In the present sanctioning procedure, the sanction is imposed because "TME" provided a duplicate of the complainant's SIM card to a third party, without their consent and without verifying the identity of that third party, and for this reason, Article 6.1 of the GDPR is attributed.

For this reason, this is a process where the diligence exercised by the operators is fundamental to prevent this type of fraud and violations of the GDPR. Diligence that translates into the establishment of appropriate measures to ensure that adequate security measures are implemented and maintained to effectively protect the confidentiality, integrity, and availability of all personal data for which they are responsible, or that they have on behalf of another controller.

The Constitutional Court stated in its Judgment 94/1998, of May 4, that we are dealing with a fundamental right to data protection which guarantees the individual control over their data, any personal data, and over its use and destination, to prevent the illicit trafficking of the same or harm to the dignity and rights of the affected individuals; thus, the right to data protection is configured as a citizen's ability to oppose the use of certain personal data for purposes other than those that justified its acquisition.

For its part, in Judgment 292/2000, of November 30, it considers it as an autonomous and independent right that consists of a power of disposition and control over personal data that empowers the individual to decide which of those data to provide to a third party, whether the State or a private individual, or which this third party may collect, and that also allows the individual to know who possesses that personal data and for what purpose, being able to oppose that possession or use.

Regarding Telefónica's conduct, it is considered to fall under the title of fault.

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As a large-scale personal data custodian, therefore accustomed or specifically dedicated to the management of personal data of clients, it must be especially diligent and careful in its handling. That is to say, from the perspective of culpability, we are dealing with a remediable error, since, with the application of appropriate technical and organizational measures, these identity thefts could have been avoided.

It is Recital 74 of the GDPR that states: The responsibility of the data controller for any processing of personal data carried out by them or on their behalf must be established. In particular, the controller must be obliged to implement appropriate and effective measures and must be able to demonstrate compliance of the processing activities with this Regulation, including the effectiveness of the measures. Such measures must take into account the nature, scope, context, and purposes of the processing, as well as the risk to the rights and freedoms of natural persons. Likewise, Recital 79 states: The protection of the rights and freedoms of data subjects, as well as the responsibility of controllers and processors, also regarding the supervision by the supervisory authorities and the measures adopted by them, requires a clear attribution of responsibilities under this Regulation, including cases where a controller determines the purposes and means of processing jointly with other controllers, or where the processing is carried out on behalf of a controller.

In accordance with the available evidence, it is estimated that the conduct of the respondent violates Article 6.1 of the GDPR, constituting the infringement typified in Article 83.5.a) of the aforementioned Regulation 2016/679. In this regard, Recital 40 of the GDPR states:

“(40) For processing to be lawful, personal data must be processed with the consent of the data subject or on some other legitimate basis laid down by law, whether in this Regulation or under other Union or Member State law to which this Regulation relates, including the necessity of complying with a legal obligation to which the controller is subject or the necessity of performing a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract.”

V

Sanction

The determination of the sanction to be imposed in this case requires observing the provisions of Articles 83.1 and 2 of the GDPR, which respectively provide as follows:

“1. Each supervisory authority shall ensure that the imposition of administrative fines pursuant to this Article for the infringements of this Regulation referred to in paragraphs 4, 9, and 6 are, in each individual case, effective, proportionate, and dissuasive.”

“2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure to those provided for in Article 58, paragraph 2, letters a) to h) and j). In deciding to impose an administrative fine and its amount in each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question, as well as the number of data subjects affected and the level of damage and detriment suffered;
- b) the intentionality or negligence in the infringement;
- c) any measures taken by the controller or processor to mitigate the damage and detriment suffered by data subjects;
- d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented pursuant to Articles 25 and 32;
- e) any previous infringement committed by the controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or processor notified the infringement and, if so, to what extent;
- i) when the measures referred to in Article 58, paragraph 2, have previously been ordered against the controller or processor in relation to the same matter, compliance with those measures;
- j) adherence to codes of conduct under Article 40 or to approved certification mechanisms under Article 42, and
- k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.”

Within this section, the LOPDGDD provides in its Article 76, titled "Sanctions and corrective measures":

"1. The sanctions provided for in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679 shall be applied taking into account the criteria for graduation established in paragraph 2 of the aforementioned article.

2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

a) The ongoing nature of the infringement."

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b) The connection of the infringer's activity with the processing of personal data.

c) The benefits obtained as a result of the commission of the infringement.

d) The possibility that the conduct of the affected party may have induced the commission of the infringement.

e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.

f) The impact on the rights of minors.

g) To have, when not mandatory, a data protection officer.

h) The voluntary submission by the responsible party or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.

3. It will be possible, complementarily or alternatively, to adopt, when appropriate, the remaining corrective measures referred to in Article 83.2 of Regulation (EU) 2016/679."

In accordance with the transcribed provisions, for the purpose of determining the amount of the fine to be imposed on the entity claimed as responsible for an infringement classified in Article 83.5.a) of the GDPR and 72.1 b) of the LOPDGDD, the following factors are deemed concurrent in the present case: As aggravating factors:

- The evident connection between the business activity of the claimed entity and the processing of personal data of clients or third parties (Article 83.2.k of the GDPR in relation to Article 76.2.b of the LOPDGDD).

The Judgment of the National Court of 17/10/2007 (rec. 63/2006), which, regarding entities whose activity involves continuous processing of client data, indicates that "...the Supreme Court has understood that there is negligence whenever a legal duty of care is neglected, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be especially weighed, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must be insisted upon the rigor and exquisite care to comply with the legal provisions in this regard."

As mitigating factors:

The claimed party proceeded to block the line as soon as it became aware of the facts (art. 83.2 c).

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It is appropriate to graduate the sanction to be imposed on the claimed entity and set it at the amount of €70,000 for the alleged infringement of Article 6.1) classified in Article 83.5.a) of the aforementioned GDPR.

Therefore, in accordance with the applicable legislation and having assessed the criteria for the graduation of the sanctions whose existence has been established, the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on TELEFÓNICA MÓVILES ESPAÑA, S.A.U., with NIF A78923125, for an infringement of Article 6.1 of the GDPR, classified in Article 83.5 of the GDPR, a fine of 70,000 euros

(seventy thousand euros).

SECOND: TO NOTIFY this resolution to TELEFÓNICA MÓVILES ESPAÑA, S.A.U.

THIRD: To warn the sanctioned party that they must pay the imposed sanction once this resolution becomes enforceable, in accordance with the provisions of art. 98.1.b) of the LPACAP, within the voluntary payment period established in art. 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to art. 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No. IBAN: ES00-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A.

Otherwise, collection will proceed in the executive period.

Upon receipt of the notification and once enforceable, if the date of enforceability falls between the 1st and 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with art. 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and in section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law. Finally, it is noted that in accordance with the provisions of art. 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal.

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If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Agency's Electronic Registry [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of the aforementioned Law 39/2015, of October 1. The interested party must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency is not aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, it will consider the precautionary suspension to be concluded.

Mar España Martí

Director of the Spanish Agency for Data Protection

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